

Armenia-Azerbaijan Relations

Armenia, Azerbaijan, South Caucasus

SIGNAL

Peace is being operationalized bottom-up through trade, transit, and connectivity while the formal treaty remains unsigned, with the bilateral agenda now effectively outsourced to US-brokered corridor infrastructure and the unresolved constitutional precondition.

FRACTURE

Baku and Yerevan are building a functioning "de facto peace" – bilateral trade, reciprocal transit, business forums, and TRIPP planning – while the single document that would formalize that peace stays frozen behind Azerbaijan's constitutional-reform demand that Armenia cannot deliver absent a referendum slated no earlier than 2027.

Armenia and Azerbaijan will fail to sign a comprehensive peace treaty over the next 12 months.

80%

PROBABILITY

TARGET: AUGUST 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- Russia suspended gas deliveries to Armenia September 15-25, three days after Pashinyan confirmed he was actively seeking alternative suppliers – a sharp escalation from sectoral trade bans to energy leverage. Russia supplies roughly 82% of Armenia's gas imports; Iranian gas and reserves covered the shortfall.
- TRIPP construction start date formally pushed to 2027. Azerbaijani FM Bayramov acknowledged the delay (September 9), attributing the main negotiations to the US-Armenia channel; feasibility studies run into late 2026/early 2027, so no contract tenders before that.
- Pashinyan-Aliyev met in Bishkek (August 31) on the SCO Summit margins – the first leader-level meeting since Armenia's June elections. Joint readouts covered peace, border delimitation, TRIPP, and energy cooperation. Mirzoyan said Azerbaijani goods would begin exporting to Armenia "in the next few days."
- Pashinyan-Putin met in Bishkek (August 31-September 1). Putin pressed Armenia to hold an EU/EAEU referendum; Pashinyan rejected the framing ("the time is not ripe"), and the two agreed to explore selling the South Caucasus Railway concession to a third party acceptable to both.
- Pashinyan declared the 102nd Russian military base in Gyumri "not vitally necessary," saying Armenia would not object if Russia decided to withdraw it.

- Iran warned that US personnel implementing TRIPP would be considered a "legitimate target," underscoring unresolved security and oversight questions (Armenia insists on sovereignty; Azerbaijan demands extraterritorial right of passage).
- Russian Deputy FM Galuzin set a December deadline: Armenia must choose between the EU and EAEU referendum path before year-end, with possible suspension of the EAEU treaty toward Armenia.
- Armenia-Turkey normalization accelerated: ~200 business leaders met at a Yerevan forum September 3-4; the EU adopted a two-year trade boost covering ~80% of Armenian exports duty-free; Trump-Turkey diplomatic signaling continued.
- The TRIPP+ Enterprise Fund doubled from \$201M to \$402M, and a TRIPP investor forum in New York (September 23) convened 40+ companies; Witkoff credited Pashinyan and Aliyev as "incredibly pragmatic and mature."
- Azerbaijan's pro-government media shifted tone, openly questioning Armenia's readiness/credibility for peace, and Baku postponed expert-level "Bridge of Peace" talks citing an anti-Azerbaijan information campaign in Armenia.

ANALYSIS

POLITICAL

The signature obstacle did not move. Azerbaijan's leadership again tied final signature to Armenian constitutional reform – Hikmet Hajiyev's July statement ("real peace" but constitution first) was not superseded, and no negotiated mechanism replaced it. Pashinyan's Civil Contract holds 64 of 105 seats, six short of the two-thirds needed to initiate constitutional change, and the pro-Russian opposition will not supply the votes. The constitutional draft is reported finalized but unpublished, and any amendment still requires a referendum the government has slated for 2027 – outside, or at the very edge of, the 12-month window.

What did move is the normalization architecture. Pashinyan and Aliyev's Bishkek meeting (August 31) was substantively positive – delimitation commissions, TRIPP, and energy cooperation all featured. Separately, on the UNGA sidelines (September 23), Pashinyan reiterated that Armenia and Azerbaijan had already "agreed and initialed" the peace text and called signature/ratification "the next major topic." Azerbaijani FM Bayramov, in his own UNGA address, pointedly described the state of play as "de facto peace" – a formulation that both acknowledges progress and signals Baku's willingness to operate indefinitely short of formalization. The two foreign ministers met at UNGA and agreed to "promote a positive agenda," but the readouts were process language, not signature language.

The deeper political fracture is Armenia's simultaneous pull into two blocs. Pashinyan has declared a "Fourth Republic" and "Real Armenia" state ideology, dropped "strategic alliance" language on Russia from the 2026-2031 programme in favor of a "transforming

partnership," and signaled he would be "glad if expelled from the CSTO." Ukraine's Zelenskyy has endorsed Armenia's EU course. Moscow has responded on multiple fronts: Putin pressed the referendum demand in person, Galuzin imposed a December decision deadline, and the El-Sisi-style "two chairs" argument is being pushed through Russian-aligned commentary. Pashinyan's parliamentary answer (September 16) – that a referendum has "already been held twice indirectly" and the government is "formulating an alternative" – is a stalling tactic: it keeps the EU option nominally alive without triggering the EAEU rupture Russia is threatening.

The Baku-Moscow relationship deteriorated independently and is a relevant backdrop variable. Russia deported Azerbaijani diaspora leader Bakhtiyar Hasanov (August 17); Azerbaijan placed three Russians on its wanted list and summoned the Russian ambassador. This bilateral friction does not directly unlock the Armenia-Azerbaijan signature – if anything, a Russia alienated from both parties has less capacity to spoil – but it adds volatility and consumes regional diplomatic bandwidth.

US pressure, personified through Witkoff and Trump's personal diplomacy, remains the single most potent pro-signature force. Congressman Hamadeh predicted a deal "before Trump's term ends," but this reflects the same foundational vulnerability the whole process carries: it hinges on one US president's personal commitment within one election cycle, not on treaty-level institutions either side has built.

ECONOMIC

The period's most concrete progress is economic. Mirzoyan's announcement that Armenian-Azerbaijani trade would begin "in the next few days" follows Bayramov's UNGA confirmation that Azerbaijan is "unilaterally lifting transit restrictions," supplying Armenia petroleum products, and has "established bilateral trade." Aliyev's offer of electricity supply to Armenia and the first working-level energy meeting (Lachin, August 26) mark the first operational energy cooperation between the two sides in three decades.

The EU opened a two-year trade liberalization window covering approximately 80% of Armenian exports duty-free – a material counterweight to Russian pressure and a signal that Brussels is prepared to subsidize Armenia's pivot. This converges with Turkey: the September 3–4 Yerevan business forum (~200 executives) and continued railway freight growth through the Akhalkalaki-Kars route show the Turkey-Armenia economic track moving in parallel with, and partly ahead of, the Azerbaijan treaty.

Countervailing this is escalating Russian economic coercion. The September 15–25 gas suspension – announced three days after Pashinyan confirmed he was seeking alternative gas sources – read as punitive even though framed as scheduled maintenance. Russia's ~82% share of Armenian gas imports makes this the sharpest coercive lever Moscow has yet pulled; Iranian gas and stored reserves covered demand this time, but a longer or harder cutoff would test Yerevan's resilience. This follows the trade war already documented (roses, dairy, phytosanitary bans) and the declining Russia trade share (35.1% → ~28%).

TRIPP economics advanced institutionally – the Enterprise Fund doubled to \$402M, and the September 23 New York investor forum drew 40+ companies – but the money is still not on the ground. Feasibility studies run to late 2026/early 2027, no construction has begun,

and the railway build alone is estimated at 18+ months once tendered. The Firebird AI/data center near Hrazdan (\$500M first phase, \$4B+ total, on Nvidia chips now licensed by Washington as part of the peace package) is the most visible single technology-pivot anchor.

MILITARY

No conventional escalation occurred, consistent with the prior assessment that war in 2026 is "highly unlikely." The notable military-relevant developments are structural rather than kinetic. Pashinyan's statement that the 102nd Russian base at Gyumri is "not vitally necessary" and that Armenia "would not object" to a Russian withdrawal continues the progressive decoupling of Armenian security from Russia – a posture that, combined with the new Armenia-India defense MoU and ongoing British/French training, redefines Armenia's alliance portfolio.

The security dimension of TRIPP is the unresolved military-adjacent risk. Iran's warning that US personnel on the corridor would be a "legitimate target" sharpens the point that TRIPP has a de-facto security footprint (surveillance, digital, and potentially transit-oversight assets) that no party has formally negotiated. The unresolved sovereignty vs. extraterritorial-right-of-passage dispute – Armenia insists on full sovereignty, Azerbaijan demands uninhibited passage to Nakhchivan – is the single most likely source of future friction, because it is a sovereignty question disguised as a technical connectivity question.

TECHNOLOGICAL

The information-warfare environment is the period's most notable technological theme, and it cut both ways. Azerbaijan's pro-government media openly questioned Armenia's readiness for peace, and Baku postponed expert-level "Bridge of Peace" talks citing an anti-Azerbaijan information campaign in Armenia – a concrete demonstration of how each side's domestic narrative management can freeze the process independent of the leaders' goodwill.

The Firebird/Nvidia data center is the flagship technological development: Washington folded an Nvidia export license into the peace negotiation, tying Armenia's AI ambitions to the broader normalization package. This is both a genuine capability transfer and a governance question – the strategic-infrastructure-for-peace linkage (mirroring the Sokolov/TRIPP patron connections flagged in the prior report) concentrates the process's durability in a politically contingent US construct.

Russia's hybrid posture toward Armenia shifted from pre-election interference to post-election economic-information coercion: the gas-cut narrative was amplified through Russian and Russian-aligned channels as proof that Armenia's Western pivot "costs too much," a playbook aimed at domestic Armenian opinion ahead of any eventual referendum.

WATCH INDICATORS

- Whether Russia converts the September gas suspension into a phased, conditional or price-driven cutoff – a transition from episodic leverage to structural energy coercion.
- Galuzin's December deadline outcome: any formal EAEU suspension toward Armenia, or Armenian counter-move (EU application, withdrawal notice, or continued stalling).
- Delimitation commission progress and whether the sovereignty vs. right-of-passage dispute on TRIPP is resolved or papered over in the next US-Armenia framework documents.
- Whether the National Assembly actually ratifies the US-Armenia TRIPP Framework Agreement, and on what timeline – a concrete signal of Armenian legislative capacity separate from the constitutional deadlock.
- Any Azerbaijani movement on the constitutional-reform precondition, or any Armenian signaling of a referendum date earlier than 2027.
- Publication – or continued non-publication – of the Armenian constitutional draft, and whether it addresses the provisions Baku cites as preconditions.
- Iran-US friction over TRIPP security arrangements, and whether Tehran's "legitimate target" warning solidifies into interference or a formal objection.
- Signature-adjacent milestones: whether "first trade deal" announcements translate into sustained, measurable Armenian-Azerbaijani trade volumes.
- Turkey-Armenia land border: any formal opening timeline that decouples from the Azerbaijan treaty.

PROBABILITY TRIGGERS

EVENT	DIRECTION
Azerbaijan drops or fuzzes the constitutional-reform precondition for signature	Down
Russia converts gas leverage into a hard cutoff or price shock, diverting Armenian government bandwidth	Up
Armenia announces a constitutional referendum date earlier than 2027	Down
TRIPP sovereignty vs. right-of-passage dispute escalates into public rupture	Up
US (Trump/Witkoff) brokers a trilateral signature event at leader level	Down
DFC/TRIPP+ Fund commits funded sub-projects with construction start before mid-2027	Down

EVENT	DIRECTION
Armenia formally files an EU application, triggering an EAEU rupture	Up
Major border incident involving casualties or territorial change	Up

KEY SOURCES

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